

Hacker and Pierson 2010 Claude Guide

Hacker, Jacob S., and Paul Pierson. *Winner-Take-All Politics: How Washington Made the Rich Richer—and Turned Its Back on the Middle Class*.

New York: Simon & Schuster, 2010.

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1 Central Claims

- The extraordinary rise in U.S. income inequality since the late 1970s—and especially the concentration of income gains at the very top, the top 1% and above all the top 0.1%—is best explained not primarily by impersonal market forces (skill-biased technological change, globalization and trade, the “superstar” economics of winner-take-all markets) but by a sustained, decades-long transformation of **American politics and policy**.
- Hacker and Pierson call this the “**organizational revolution**” in American politics: beginning in the 1970s, business and financial interests built a durable, well-funded organizational infrastructure—trade associations, corporate PACs, lobbying shops, think tanks—that dramatically out-mobilized organized labor and other potential countervailing forces representing middle- and working-class Americans.
- This shift in organized political power reshaped policy across multiple domains simultaneously—tax policy, financial regulation, corporate governance and executive pay, and labor law—in ways that systematically favored the already-wealthy and the financial sector, producing a “winner-take-all economy” by political design rather than by market necessity alone.
- The book is explicitly a rebuttal to accounts (common among economists) that treat rising inequality as the more-or-less natural byproduct of technology and trade. Hacker and Pierson do not deny market forces matter, but argue that market outcomes are always structured by prior political and legal choices (the rules governing corporate governance, union organizing, taxation, financial markets), so treating “the market” as apolitical is itself a political mystification.
- A key diagnostic fact motivating the book: most of the gains from post-1970s U.S. economic growth have gone to a startlingly narrow slice of the population—the top 1%, and within that, disproportionately the top 0.1% and top 0.01%—a pattern hard to explain with skill-biased technological change alone, since it implies a change in relative returns to skill/education far too broad-based to produce such an extremely narrow concentration at the tip of the distribution.
- Central subtitle claim: government did not merely fail to prevent rising inequality—it **actively drove** it, through legislative action, non-action, and administrative and judicial decisions, all shaped by the mobilized political power of business and finance. “Washington made the rich richer.”

2 Core Theoretical Mechanism

- **Policy drift**: perhaps the book’s single most important theoretical contribution. Drift refers to situations in which the effects of existing policies change substantially—often in a distributively significant way—not because policymakers actively legislate a change, but because they *fail to update* policies in the face of changing social, economic, or technological conditions. Examples: the minimum wage losing real value because it is not indexed

and Congress fails to raise it; labor law (the Wagner Act/NLRA framework) becoming increasingly toothless as employer tactics and the economy evolved while the statutory framework and enforcement apparatus stayed frozen; financial regulation failing to keep pace with financial innovation (derivatives, shadow banking) in the decades before 2008.

- Crucially, drift is not merely *inaction*—it is politically produced and often deliberately defended by organized interests who benefit from stasis. The U.S. system’s many veto points (bicameralism, the filibuster, separation of powers, federalism) make it far easier to block updating legislation than to pass it, so organized interests that benefit from an outdated status quo need only prevent reform, not win an affirmative legislative majority. Drift is therefore a form of “**governing by not governing**”—inaction as a genuine, consequential, and defensible political choice, not a passive absence of politics.
- This reframes the conventional political science emphasis on **visible, enacted legislation** (what got passed, who voted for what) as radically incomplete: some of the most consequential distributive shifts of the last forty years occurred through things that did *not* happen (failure to raise the minimum wage, failure to reform labor law, failure to update financial regulation) as much as through things that did.
- The second core mechanism is **organizational asymmetry in mobilization**. Hacker and Pierson trace a “moment of transformation” in the 1970s: facing profit squeezes and a perceived regulatory and litigation threat (crystallized in the 1971 Powell Memorandum), American business built an unprecedented lobbying and political infrastructure—the U.S. Chamber of Commerce’s growth, the proliferation of corporate PACs after FECA amendments, the founding/expansion of business-oriented think tanks (Heritage Foundation, American Enterprise Institute, Business Roundtable), and a vast expansion of registered lobbyists in Washington.
- Labor, by contrast, went into steady organizational decline over the same period (private-sector union density falling from roughly a third of the workforce at mid-century to single digits by the 2000s), and other potential countervailing organizations of the middle class (broad-based membership associations, in a very Putnam-esque sense) also weakened. The result was a profound and growing **asymmetry of organized political voice**, even though electoral coalitions and voter preferences did not necessarily shift nearly as much.
- This yields Hacker and Pierson’s central methodological/theoretical critique of much of mainstream political science: research overwhelmingly emphasizes **elections**—what voters want, who they vote for, how parties respond to the median voter—while badly under-theorizing the **organizational infrastructure of politics between elections**: lobbying, agenda-setting, drafting statutory and regulatory detail, sustained pressure on the bureaucracy, and the strategic use (or defense) of policy drift. For Hacker and Pierson, it is this ongoing, low-visibility organizational politics—not primarily electoral politics—that has been decisive for long-run distributive outcomes.
- The two mechanisms interact: organized business/financial power does not only win new legislation favorable to concentrated wealth (e.g., tax cuts); it also works to entrench

profitable *drift* by blocking updating reforms, and to defend hard-won enacted victories against subsequent reversal (“lock-in”), a dynamic they describe using the image of a “drift-and-lock-in” cycle reinforcing itself over decades.

3 Core Empirical Evidence

- **Labor law and the decline of private-sector unionism:** Extended case study of the failed 1978 labor law reform effort, which would have strengthened NLRB enforcement and penalties for employer violations of organizing rights. Despite a Democratic president (Carter) and large Democratic congressional majorities, an intensely mobilized business lobby defeated the bill (it fell just short of overcoming a Senate filibuster). Hacker and Pierson treat this as the pivotal moment demonstrating the new organizational muscle of business and the beginning of several decades of union decline via drift (the NLRA framework never meaningfully modernized while employer anti-union tactics, and the shift to a service/global economy, evolved around it).
- **Financial deregulation, 1980s–2000s, culminating in the 2008 crisis:** A sustained narrative of financial-sector political mobilization securing deregulation (Depository Institutions Deregulation and Monetary Control Act 1980, Garn–St. Germain 1982, repeal of Glass-Steagall via Gramm-Leach-Bliley 1999, the Commodity Futures Modernization Act 2000 exempting derivatives/CDS from regulation) combined with drift (regulators failing to extend oversight to a rapidly growing shadow banking system, mortgage securitization, and OTC derivatives markets). This combination of active deregulatory legislation and regulatory drift is presented as directly enabling the excessive risk-taking that produced the 2008 financial crisis, and as massively enriching the financial sector in the run-up to it.
- **Top marginal tax rates, capital gains, and estate tax policy since the 1970s:** Traces the collapse of top marginal income tax rates (over 70% into the late 1970s, cut sharply under Reagan in 1981 and again in 1986), the preferential and falling taxation of capital gains and dividends (disproportionately accruing to top earners), and the sustained, well-funded campaign (led by family-business-funded advocacy groups) to reduce and eventually nearly eliminate the estate tax—despite affecting only a tiny sliver of the wealthiest estates. Tax policy is presented as the clearest case of *actively legislated* redistribution upward, secured through sustained lobbying rather than median-voter demand (estate tax repeal polled as broadly popular even though it overwhelmingly benefited a tiny number of very wealthy families—attributed to misperception and effective messaging, e.g., the “death tax” framing).
- **Executive compensation:** Documents the explosive growth of top corporate executive pay from the 1970s to the 2000s, driven by changes in corporate governance norms (the rise of stock-option-based pay, weak board oversight, compensation consultants operating in a “ratchet” dynamic across firms) and by the political/regulatory choices that permitted this governance structure to persist (e.g., the failure to meaningfully regulate or tax option-based pay, and SEC/accounting rule fights over stock option expensing). Executive pay is

treated as both a symptom and an engine of top-end income concentration, tightly linked to the deregulated corporate governance environment that organized business successfully defended.

- Across all four cases the same underlying pattern recurs: organized, resource-rich interests (finance, large corporations, wealthy individuals) achieved a combination of (a) affirmatively legislated advantages and (b) successfully defended policy drift, while diffuse, weakly organized interests (workers, the middle class, ordinary taxpayers) lacked the sustained organizational capacity to win comparable legislative victories or to force needed updates to policy.

4 Core Works Cited

- **Paul Pierson**, *Politics in Time: History, Institutions, and Social Analysis* (2004)—Pierson’s earlier book on path dependence, increasing returns, and the importance of studying slow-moving processes and long time horizons in politics. *Winner-Take-All Politics* extends and operationalizes Pierson’s path-dependence framework through the specific concept of “policy drift,” applying his general institutionalist toolkit to the concrete case of rising inequality.
- **Thomas Piketty and Emmanuel Saez**, series of papers on top income shares beginning with “Income Inequality in the United States, 1913–1998” (2003, *Quarterly Journal of Economics*) and subsequent updates—the direct empirical data source underlying the book’s central inequality trends (the top 1%/0.1%/0.01% income share series). Hacker and Pierson build their entire empirical narrative on top of the Piketty-Saez data infrastructure.
- **Jacob Hacker**, *The Divided Welfare State: The Battle Over Public and Private Social Benefits in the United States* (2002) and *The Great Risk Shift: The Assault on American Jobs, Families, Health Care, and Retirement* (2006)—Hacker’s earlier solo work on the privatization of economic risk in the U.S. welfare state; *Winner-Take-All Politics* extends this concern with risk-shifting and insecurity into a fuller political-economy account of why policy has failed to buffer ordinary Americans against rising risk and inequality.
- **Kay Lehman Schlozman, Sidney Verba, and Henry Brady**, *The Unheavenly Chorus: Unequal Political Voice and the Broken Promise of American Democracy* (2012, and related earlier work on interest group and civic participation inequality)—directly parallel empirical/theoretical project on the class skew of organized political voice and interest representation in American politics; Hacker and Pierson’s account of asymmetric organizational mobilization by business versus labor is closely complementary to Schlozman, Verba, and Brady’s broader findings on unequal political voice.
- Also draws on and engages the broader “American Political Development” (APD) historical-institutionalist tradition, and situates itself against economics-centered inequality accounts (e.g., skill-biased technical change literature associated with Claudia Goldin and Lawrence Katz, and superstar-effects arguments) as an explicit foil.

5 Methodological Contributions and Limitations

- The book is a work of engaged, accessibly written trade political-economy scholarship (aimed at a broad public audience, not solely an academic one) that nonetheless draws on serious historical-institutionalist (APD-style) method combined with quantitative inequality data (chiefly Piketty-Saez), integrating rich narrative case studies (labor law, financial deregulation, tax policy, executive pay) with a general theoretical apparatus (drift, organizational asymmetry, veto points).
- **Methodological contribution:** the concept of policy drift offers a way to bring *non-events*—failures to legislate, failures to update, sustained inaction—into the causal story of political outcomes, correcting a bias in political science toward studying only enacted, visible legislative change. This is a genuine methodological advance for thinking about slow-moving, cumulative distributive processes.
- **Critique from economists:** many economists have pushed back that the book gives short shrift to market-based explanations for inequality—skill-biased technological change, the college wage premium, globalization and trade exposure, and “superstar” market dynamics in fields like finance, technology, and entertainment—that at least some empirical evidence suggests deserve substantial explanatory weight, and that a purely political account risks being difficult to falsify (any observed inequality trend can, in principle, be attributed post hoc to some undetected instance of drift or lobbying).
- **Institutional specificity/portability concern:** the book’s causal story is deeply rooted in distinctively American political institutions—the multiple veto points of the U.S. constitutional system (bicameralism, presidential veto, the Senate filibuster, federalism, an independent judiciary)—which make it comparatively easy for well-organized minority interests to block reform and defend favorable drift. This raises an important open question about **portability**: how well does the “organized business power drives inequality” argument travel to other advanced democracies with parliamentary systems, fewer veto points, and stronger coordinated-bargaining institutions (works councils, sectoral wage bargaining, proportional representation)? Hacker and Pierson’s argument may be as much about the distinctive vulnerability of *American* institutions to organized-minority capture as about a general theory of inequality’s political origins.
- Relatedly, the book is less attentive than some comparative political economy work (e.g., varieties-of-capitalism approaches) to how different institutional configurations abroad (coordinated market economies vs. liberal market economies) might produce very different distributive trajectories even facing similar global economic pressures—a limitation the book largely leaves for other scholars to address.
- The book’s causal identification strategy is fundamentally qualitative/narrative (process tracing across a small number of extended case studies) rather than quantitative/causal-inferential; this is appropriate to its subject matter (there is no natural experiment for “the political mobilization of American business”) but means its causal claims rest on the

persuasiveness of the case narratives rather than on statistical identification.

6 Connections to the Broader Literature

- **Olson 1965 (*The Logic of Collective Action*):** Directly applicable. Hacker and Pierson’s account of why relatively small, concentrated business and financial interests systematically out-organize the far larger but diffuse constituency of middle- and working-class Americans is a real-world instantiation of Olson’s logic—concentrated benefits and low per-member organizing costs favor small groups (trade associations, corporate lobbies) over large latent groups (workers, taxpayers) who face free-rider problems in forming effective political organizations. The 1970s “organizational revolution” in business lobbying is essentially Olson’s small-group advantage playing out at national scale over decades.
- **North 1990 (*Institutions, Institutional Change and Economic Performance*):** North’s account of organizations both reflecting and reinforcing the institutional status quo—and of institutions changing incrementally through the interaction of organizations with existing rules—parallels Hacker and Pierson’s account of drift and lock-in: organized interests that benefit from existing arrangements invest in defending and entrenching them, producing path-dependent institutional trajectories that are difficult to reverse even when they no longer serve efficient or broadly beneficial ends.
- **Iversen and Soskice 2019 (*Democracy and Prosperity*):** An instructive point of contrast/tension. Iversen and Soskice offer a comparatively optimistic account in which democratic political competition and advanced capitalism are mutually reinforcing, disciplined by the median (typically middle-class, skilled) voter’s demand for education and growth-compatible redistribution. Hacker and Pierson’s U.S.-focused account is considerably more pessimistic: it argues that organized, unequally distributed political power—not majoritarian democratic responsiveness to the median voter—has driven a starkly top-heavy distributive outcome, even in a nominally fully democratic polity. Worth drawing out this tension explicitly on exams: are median-voter/electorally-driven accounts of advanced-democracy political economy (Iversen-Soskice) compatible with Hacker and Pierson’s organizational/drift account, or does the U.S. case represent a scope-condition failure for median-voter optimism?
- **Boix 2003 (*Democracy and Redistribution*):** Boix’s median-voter/redistribution framework assumes that democratic institutions reliably translate median-voter preferences for redistribution into actual policy outcomes (with the degree of redistribution shaped by asset specificity and inequality itself). *Winner-Take-All Politics* is in some ways an empirical challenge to that assumption in the specific case of the contemporary United States: Hacker and Pierson show that organized minority interests can override, block, or simply outlast median-voter-implied redistributive demands through lobbying and the strategic use of drift, producing outcomes (falling top tax rates, weakened labor law, deregulated finance) that run directly counter to what a simple median-voter redistribution model would predict given rising inequality.

- **Huntington 1968, Cox 1997, Muller and Strom 1999:** These works on party goals, legislative organization, and the institutional channels through which organized interests shape policy provide useful comparative and institutional context for Hacker and Pierson’s claim that policy outcomes are decisively shaped by organizational infrastructure operating between elections (lobbying, agenda control, coalition management) rather than by electoral outcomes alone—a claim about the “organizational” as opposed to purely “electoral” face of political power that resonates with these authors’ broader concerns about party and legislative organization as instruments of interest representation.
- **Putnam 1993 (*Making Democracy Work*):** Putnam’s account of declining civic and associational density—most directly, declining union membership and the erosion of horizontal, broad-based associational life in the American case explored in his later *Bowling Alone*—is part of the same broader story Hacker and Pierson tell: the erosion of countervailing organizational power for ordinary citizens. Where Putnam emphasizes social capital and civic trust as the product (and further cause) of dense associational networks, Hacker and Pierson emphasize the specifically political consequences of one particular associational decline (private-sector unions) for the organized balance of power in Washington—two complementary lenses on the same underlying erosion of horizontal civic/organizational infrastructure in American life.